(13)

IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

CP(CAA)/49(CHE)/2022

In

CA(CAA)/103(CHE)/2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement for Demerger*

Between

M/s. JG HOSIERY PRIVATE LIMITED
CIN:- U18101Z2001PTC009707
58/1, SOLIPALAYAM ROAD,
15 VELAMPALAYAM, TIRUPUR,
TAMIL NADU – 661 652

...Demerged Company

And

M/s. LTK INDUSTRIES PRIVATE LIMITED
CIN:- U17299TZ2020PTC034398
PP2, PP3, PP4,
SIPCOT INDUSTRIAL GROWTH CENTRE
INGUR – PERUNDURAI, ERODE
TAMIL NADU – 638 052

...Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

*Order Pronounced on **29th June 2022***

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Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *S. Manjula Devi, Advocate*
For KSR & Co.,

ORDER

Per: **Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petitions have been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **M/s. JG HOSIERY PRIVATE LIMITED** *(hereinafter referred to as "Demerged Company")* and **M/s. LTK INDUSTRIES PRIVATE LIMITED** *(hereinafter referred to as "Resulting Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also appended as "Annexure – 2" to the typed set filed along with the Petition.

3. From the records, it is seen that in the First Motion Application filed before this Tribunal vide CA(CAA)/103(CHE)/2022 wherein the certain directions were issued for holding and dispensing with the meetings. Subsequently, the second motion petition was filed before

this Tribunal by the petitioner companies for sanction of the Scheme of Demeger by this Tribunal.

4. In the second motion application filed by the Petitioner Companies, this Tribunal had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Mani", Tamil (Tamil Nadu Edition).

5. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the Tribunal in one issue of "Business Standard" (All India Edition) in English and "Dinamani" (Tamil Nadu Edition) in Tamil on 11.05.2022. It is also seen that notices have also been served to (i) The Regional Director, Southern Region, Chennai on 06.05.2022, (ii) Registrar of Companies Chennai on 06.05.2022, (iii) Deputy Commissioner, Income Tax Department on 09.05.2022, and the proof of the same by way of acknowledgements/receipts have been enclosed with the

typed set filed along with the Petitions. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

6. The Regional Director, (for brevity 'RD') Chennai to whom the notice was issued has filed his Report before this Tribunal and has stated that Clause L of Part II of the Scheme provides for protection of the interest of all the employees of the Demerged Company. It was also stated that as per the report of Registrar of Companies, both the Demerged and Resulting Companies are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies.

7. Further at para 8, the RD has observed that as per Clause M of Part 11 of the Scheme, the Resulting Company shall issue and allot to the Shareholders of Demerged Company such number of fully paid-up equity shares of Rs. 10 each in proportion to the shares held by them in the Demerged Company as consideration upon effectiveness of the scheme of arrangement (demerger). Further, the Resulting Company shall suitably increase its authorized share capital for allotment of shares to the members of the Demerged Company and the proposed authorized share capital of the Resulting Company shall be Rs. 7,00,00,000/- divided into 70,00,000 equity

shares of Rs. 10 each. It is prayed that the Resulting Company may be directed to remit the fee / stamp duty and also to file the amended MOA and AOA with ROC, upon effectiveness of the Scheme of arrangement (demerger). Apart from the above, the RD has not made any objection to the Scheme.

8. Despite notice being served, there is no representation from the Department of Income Tax and in the circumstances, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

9. The Petitioner Companies have filed the certificate of the Independent Statutory Auditor in relation to compliance with the Accounting Standards with respect to the Scheme. Thus, the Petitioner Companies have complied with proviso to Section 230 (7)/ Section 232 (3) of the Companies Act, 2013.

10. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings are pending against the petitioner companies under Section 235 to 251 of the Companies Act, 2013 or under relevant provision of the Companies Act, 1956.

11. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal, sanctions the Scheme of Demerger, appended as "Annexure – 2" to typed set filed along with the Petition.

12. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

13. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

14. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting

Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause M of Part II of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Appointed date for the Scheme is **30th November 2020**; and

(vii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(viii) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

15. Accordingly, the Company Petitions stand **allowed** on the aforementioned terms.

-SD-

SAMEER KAKAR
MEMBER (TECHNICAL)

-SD-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Raymond